

PUBLIC-UTILITY BOND ANALYSIS

The popularity of public-utility securities between 1926 and 1929 resulted in an enormous increase in the amount of such financing, but this increased quantity was accompanied by a definite retrogression in the standards of quality and in the methods of presentation employed by the issuing houses. Investment bankers, including some of the highest reputation, followed entirely indefensible practices in their offering circulars, in order to make the issues appear safer than they actually were. Of these objectionable devices, the most important were: (1) the application of the term "public utility" to industrial operations; (2) the use of the prior-deductions method of stating the earnings coverage; and (3) the ignoring of depreciation in calculating the net earnings available for bond interest.

1. Abuse of the Term "Public Utility." Just what constitutes a public-utility enterprise may be the subject of some controversy. In its strict definition it would be any enterprise supplying an essential service to the public, subject to the terms of a franchise and to continuous regulation by the state. (While steam railroads are in fact a public-utility undertaking, it is convenient and customary to place them in a separate category.) From the investment standpoint, the most important idea associated with a public utility is that of *stability*, based first upon the rendering of an indispensable (and generally exclusive) service to a large number of customers, and, secondly, upon the legal right to charge a rate of compensation sufficient to yield a fair return on the invested capital.

It must be borne in mind that this stability is relative rather than absolute, since it is not immune from basic changes or unexpected vicissitudes. Twenty years ago the leading type of utility was the street railway; but this industry is now subject to such severe competition from other forms of local transportation that in most communities it is not practicable to set the fare high enough to return reasonable earnings on the actual investment. Furthermore, during the war inflation period of 1918–1920 the light and power companies suffered keenly from rising labor and material costs together with difficulties and delays in obtaining permission to advance rates proportionately. These hardships had for a time an adverse effect upon the popularity of all utility investments, but the subsequent brilliant expansion of both gross and net earnings of gas, elec-